What a Medicaid Application May Ask a Family to Show

And why records kept along the way help. A short guide, in general terms.

You've heard that a Medicaid application involves a lot of paperwork. Nobody has said what kind, or what a family can do about it while Dad is managing fine and there's nothing to apply for.

This guide explains, in general terms, how an application works and the kinds of records it may ask about, so the file you keep has a shape. It explains. It doesn't say what Dad's state requires, and it doesn't decide anything.

How an application works, in general

Medicaid is a joint federal and state program that helps pay health care costs for people with limited income and, in some cases, resources, who meet other requirements. It comes up in conversations about long-term care because Medicare generally doesn't cover long-term care in a nursing home. [1]

States run the program day to day, including taking applications and deciding eligibility, so a person applies in the state where they live. Applying means two things: filling out an application form, and providing documentation to verify general and financial requirements. [2] [3]

What the state looks at falls into three groups, according to the federal Administration for Community Living: general requirements, such as citizenship or immigration status, state residency and a Social Security number; financial requirements, meaning income and assets; and, for long-term care, the person's care needs. [4]

- You don't need the form yet. Knowing there's a form, and a set of documents behind it, is enough for now.
- Which program would apply to Dad, and where his state takes applications, are questions to write down for your Medicaid planner.

The kinds of records an application may ask about

USA.gov lists things a state Medicaid agency may ask for: a name and date of birth, a Social Security number, proof of citizenship or immigration status, proof of income, a verification of other government benefits, monthly payment amounts for rent, mortgage or utilities, and information about a current insurance plan. It adds that what is required depends on the state. [5]

On the financial side, the Administration for Community Living says an applicant will have to provide documentation of what assets they have. For someone who owns a home, the state may ask for its current fair market value and any loans against it; a current tax bill, a real estate appraisal and copies of the mortgage are among the papers it names. [4] [2]

Income is looked at too. The state counts some income but not all of it, and the sources the Administration for Community Living lists include Social Security payments, veterans benefits, pensions, wages, interest and dividends. How income and resources are counted varies from state to state. [4] [3]

- For each kind, the family's job is the same: know whether the record exists, where it's kept and who can get to it.
- Trusts, annuities and a spouse's finances have paperwork of their own. If any applies to Dad, note that it exists and where the papers are. What an application would want from them is a question for your Medicaid planner or an elder law attorney.

Why a dated note about a money event helps

The Administration for Community Living notes that if the value of a person's assets went down a lot in the years before applying, the state may ask the person to explain what happened to the assets. [2]

That is the reason for keeping a transaction history. A sale, a gift, a large deposit or withdrawal, an account opened or closed: each is easy to describe in the year it happens and harder later. A dated line saying what happened, with a copy of whatever paperwork exists, records it while people remember.

- Write what happened and when. Leave out what you think it means.
- Whether an event matters for an application, and how far back a state looks, depends on the state and the situation. Those questions go to your Medicaid planner or an elder law attorney.
- Nothing here is a reason to make, change or undo a gift or a transfer.

A system, a person, and the question of when

A file helps only if someone can find it. The National Institute on Aging suggests putting important papers in one place (a file, a drawer, or a notebook listing where things are) and telling someone trusted where to find them. The Consumer Financial Protection Bureau adds keeping recent bank and brokerage statements available, with information on how to get them online, and keeping the information current when something changes, such as a new account. [6] [7]

An application can be made by the person or by someone they designate, such as a family member, an attorney or a friend. Whoever applies for another person should be familiar with the situation, be able to answer the eligibility questions and have access to the financial records. Talking with Dad about who that would be is part of getting ready. Records can also affect how long an application takes: the Administration for Community Living says the state may take longer to determine eligibility if required documents aren't provided on time. That is the plain case for a file kept along the way. [2]

When to apply is the question families most want answered, and this guide can't answer it. The Administration for Community Living says the best time depends on a person's medical situation, marital status and the complexity of their finances. Write the question down and bring it to your Medicaid planner. [2]

The file is never quite finished. The National Institute on Aging notes that the benefits and eligibility requirements of these programs can change over time and differ from state to state, so what a file should hold is worth asking about again now and then. [8]

What this means for your family

- “A lot of paperwork” becomes a short list of kinds: identity, income, accounts, insurance, property, and a record of the larger money events.
- Your job is to know what exists and where it is, with dates. It isn't to work out what any of it means.
- The questions about Dad's own state and situation (which program, which records, how far back, when to apply) go to your Medicaid planner. Legal questions go to an elder law attorney.
- Keeping records isn't a decision to apply. It's a file that is there if your family ever needs it.

What this guide doesn't do

It doesn't say what Dad's state requires, how far back records need to go, whether anything in his finances matters for an application, or when to apply. The general descriptions come from the sources below. The advice about what to write down is ours. Nothing here is legal, financial or tax advice.

Ready for the next step?

You understand, in general terms, what an application may ask for and why the file is worth keeping as you go. The planning interview is the next step: it asks about your family's situation and gives you a free planning report you can bring to any conversation about paying for care.

Get Your Free Planning Report ›

WHERE THIS COMES FROM

1. Medicare.gov (Centers for Medicare & Medicaid Services), How can I pay for nursing home care?
2. Administration for Community Living (LongTermCare.gov), Applying for Medicaid
3. Centers for Medicare & Medicaid Services (Medicare.gov publication), Medicaid: Getting Started
4. Administration for Community Living (LongTermCare.gov), Medicaid Eligibility
5. USA.gov, How to apply for Medicaid and CHIP
6. National Institute on Aging, Getting Your Affairs in Order Checklist: Documents to Prepare for the Future
7. Consumer Financial Protection Bureau, Planning for diminished capacity and illness
8. National Institute on Aging, Paying for Long-Term Care